However, during the consultation, SCAG staff instead recommended the use of DOF's population projections because they were more consistent with the statewide approach to RHNDs being taken by HCD.

For regional transportation planning purposes, guided by state and federal statute, SCAG produces a balanced projection of population, household, and employment growth that achieves certain targets.[5] This is a technically reasonable projection produced under the guidance of a Demographic Panel of Experts. Furthermore, its underlying assumptions about population growth, household formation, and employment growth envision a future that fully accommodates the region's housing need in the long-run.

However, HCD's practice under Government Code Section 65584.01, specifically the use of adjustments listed under Section 65584.01(b)(3), differs from this approach. During consultation with HCD, it became apparent that the use of SCAG's population and household projections, which explicitly assume a balance with future employment growth expectations and consider the effects of future housing policy on household formation behavior, would muddy the interpretation of these adjustments and likely count certain policy targets more than once, potentially resulting in "double counting."

The key difference is HCD's approach to adding adjustments which, if the specified number of units were built, could result in a region whose characteristics reached a certain target (e.g. adding units so that rental vacancy hits a healthy level, overcrowding drops to the national level, and homelessness reaches zero). For these individual, "supply-target" adjustments to each be distinct, they must be added to a projection of population alone; ideally one that reflects "business-as-usual" projection assumptions as closely as possible. This contrasts to the construction of an RTP forecast—for example, SCAG's population projection includes a higher share of working-age residents to accommodate future expected job growth and SCAG's household projection assumes a significant increase in future household formation rates.

As a result, SCAG staff recommended and HCD accepted the use of the population projection produced by the Department of Finance in lieu of SCAG's projection.

Cost Burden Adjustment

A household is considered "cost burdened" when it spends more than 30 percent of its income on housing. Under HCD's methodology, differences in housing cost burden between the SCAG region and the nation account for **37 percent of the region's total RHND (504,627 units)**.

[5] For details about the projection associated with Connect SoCal 2024, see Section 1.2 of https://scag.ca.gov/sites/default/files/2024-05/23-2987-tr-demographics-growth-forecast-final-040424.pdf